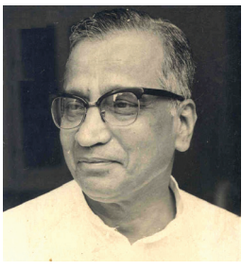
a view to designing and propagating economic policies/programmes and plans to India's national advantage." V.K.R.V: Rao was a prolific writer.



V.K.R.V: Rao was deeply interested in three large themes. They were:

i. National Income,

ii. Food, nutrition and the distribution of good; and

iii. Employment and occupational distributions.

1. National Income Methodology

As an applied economist, Rao's name is remembered for his pioneering work on the enumeration of national income of India. Rao was a pupil of J.M. Keynes and he worked with Colin Clark. H.W Singer considered V.K.R.V Rao as " the best equipped of all Keynes' pupils. He attempted (i) to develop the national income concepts suited to India and developing countries generally; (ii) to analyze the concepts of investment, saving and the multipliers in an underdeveloped economy; and (iii) to study the compatibility of the national incomes of industrialized and underdeveloped countries. Rao's paper on "Full Employment and Economic Development" was one of the earliest contributions in the field of development towards employment.

2. International Food Aid

Rao was influential in creating ideas and shaping policy in the international attack on world poverty, not only through his contributions to the question of international aid and improved flows of external resources, but also through his activities in the field of food aid.

3. Support for Socialism

During the early phases of planning in India, Rao supported the case of a socialist India, where the state would control the commanding heights of the economy and the public sector would play a dominant role in economic development.

4. Rao's Views on Industrialization

In his pamphlet "What is wrong with Indian Economic Life?' (1938), Rao gave the following reasons for low per capita income and low levels of per capita nutrition in India.

i. Uneconomic holdings with sub-divisions and fragmentation;

ii. Low levels of water availability for crops;

iii. Excess population pressure on agriculture due to the absence of a large industrial sector;

iv. Absence of capital;

v. Absence of autonomy in currency policy, and in general in monetary matters encouraging holding of gold.

5. Village Clusters

Rao felt that rural communities had to be given a viable base. Therefore he suggested that a cluster of villages should form a unit for rural development, so that both social and economic interactions between villages could develop, and they could effectively generate and fashion

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